CREDIT MEMO · DRAFT FOR COMMITTEE

HALDEN PACKAGING: $85.0M UNITRANCHE

Refinancing and add-on acquisition. Credit investment committee, direct lending fund. Fictional company, test run.

$85.0M

Requested facility · 5-year · S+575 · 1.0% floor · OID 98.0

Draft label: approve with conditions (for committee)

STRICTLY CONFIDENTIAL

Halden can carry $85.0M at 2.96x pro forma or 3.32x reported, once the open items close

Executive summary · $ in millions unless stated · FY2024 is the latest actual year

1 · ASK **Approve with conditions**	$85.0M unitranche, 5-year, S+575. Draft label for the committee; conditions are on the last working slide.
2 · EARNINGS **Growing**	EBITDA rose from 21.3 to 25.6 in two years, 9.6% a year. Pro forma adds 3.1 from Ridgeway, not yet verified.
3 · LEVERAGE **2.96x pro forma**	Debt of 85.0 is 3.32x reported EBITDA. The opening covenant is 4.75x.
4 · HEADROOM **21.9% cushion**	Reported EBITDA can fall this far before the 4.25x step-down binds. Base case only; no downside supplied.
5 · BLOCKS **Sources short 1.7**	The OID leaves 83.3 of cash for 85.0 of uses. The QoE and plant 3 report also gate funding.

Source: company material supplied for this credit (material.md); leverage and headroom derived, see facts.json

We propose approve with conditions; funding waits on the sources gap

Terms requested, conditions precedent and what happens if nothing is done · $ in millions

Term	**Requested**
Facility	Senior secured unitranche
Amount	$85.0M
Use	Refinance 60.0 · add-on Ridgeway 22.0 · fees 3.0
Pricing	S+575, 1.0% floor, OID 98.0
Tenor	5-year
Amortisation	n/a: source needed
Security and ranking	n/a: source needed
Hold size	n/a: source needed
Covenants	4.75x stepping to 4.25x; FCCR 1.20x min

Draft label: approve with conditions

Conditions precedent

- Sources and uses tie: the 1.7 OID shortfall is funded and named.
- QoE final, with each add-back, Ridgeway included, accepted or cut.
- Plant 3 environmental report received and reviewed.
- FY2025 year-to-date actuals received against the budget of 171.0.

What reverses it: removing Ridgeway leaves leverage at 3.32x, inside 4.75x. It would not reverse the verdict alone.

If nobody acts: the facility is not funded as drafted, because sources are short by 1.7. The verdict stays open.

Source: material.md (request, uses, proposed covenants, open items); conditions and default outcome are the deal team's draft

Pro forma leverage is 2.96x; reported leverage is 3.32x

Deal snapshot · gross leverage, as stated basis · $ in millions

25.6

FY2024 reported EBITDA ($M) · up 7.1% on FY2023 (23.9)

28.7

Pro forma EBITDA ($M) · includes Ridgeway 3.1, unverified

2.96x

Total debt 85.0 / pro forma EBITDA · opening covenant 4.75x

45%

Sponsor equity, % of pro forma capitalisation

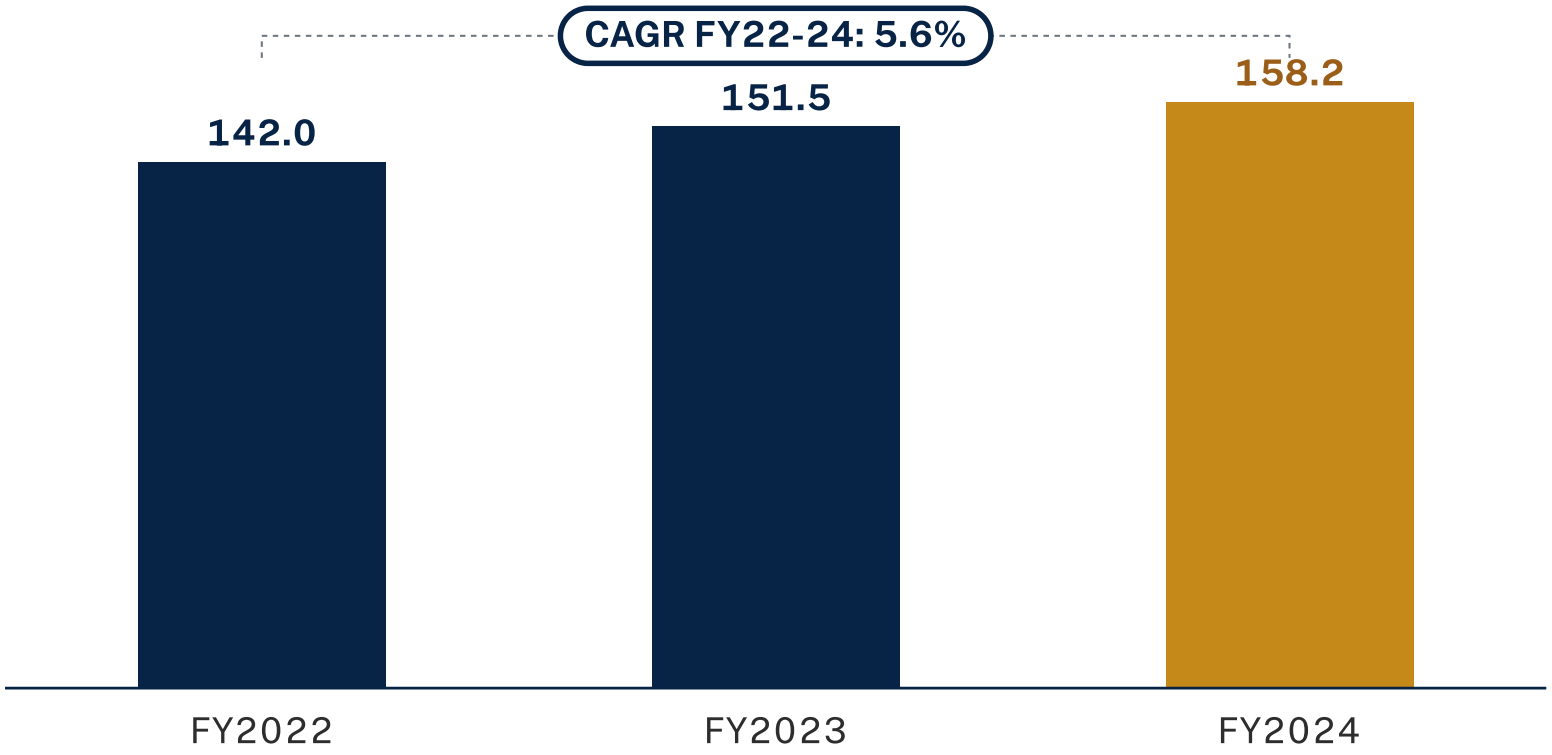
Metric	Value	Status
Net leverage	**n/a**	No cash balance supplied; gross leverage used
Interest cover and fixed charge cover	**n/a**	No interest rate or SOFR level supplied
Loan to value	**n/a**	No enterprise value supplied
Free cash flow, FY2024, before interest	**14.7**	Derived; see the cash flow slide

Source: material.md; gross leverage and free cash flow are derived (facts.json); net, cover and LTV are not computable from the material

Revenue grew 5.6% a year to $158.2M, but growth slowed from 6.7% to 4.4%

Revenue, $M, FY2022 to FY2024 actual; FY2025 budget 171.0 (growth 8.1%)

Revenue, $M



- Growth slowed from 6.7% in FY2023 to 4.4% in FY2024.
- The FY2025 budget assumes 8.1% growth, above both actual years.
- The budget includes Ridgeway, but no Ridgeway revenue is supplied. WORTH A QUESTION.

Source: material.md (company financials, $M); growth and CAGR derived

Containerboard prices fell 9% in FY2024, and gross margin held at 24.1%

Input prices and gross margin · price change in %, margin in %

DATA NEEDED

Containerboard price index, FY2022 to FY2025. Industry cyclicality, competitor set and the last downturn: n/a: source needed.

Indicator	Value
Containerboard price change, FY2024	**9%**
Gross margin, held through the price fall	**24.1%**

- The margin held while prices fell, which needs an explanation. WORTH A QUESTION.
- No pass-through or contract terms supplied. Customer contracts decide how much of a price fall lands on margin.

Source: material.md (containerboard price, gross margin); industry data not supplied

The sponsor has owned Halden since 2021 and puts in 45% of capital

Sponsor support · what the material shows and what it does not

Supplied	**Detail**
Ownership	Sponsor-owned since 2021
Equity	45%
Equity basis	% of pro forma capitalisation

Not supplied	**Status**
Track record with similar credits	DATA NEEDED
Equity cheque in $M	n/a: source needed
Support history in past downturns	DATA NEEDED

Source: material.md (ownership, sponsor equity share); track record not in the material

EBITDA rose from $21.3M to $25.6M in two years, and margin rose to 16.2%

Financial summary · $ in millions · A = actual, B = FY2025 budget (management case)

$ in millions	FY2022 A	FY2023 A	FY2024 A	FY2025 B
Revenue	**142.0**	151.5	158.2	171.0
Revenue growth	**n/a**	6.7%	4.4%	8.1%
EBITDA, reported basis	**21.3**	23.9	25.6	28.4
EBITDA growth	**n/a**	12.2%	7.1%	10.9%
EBITDA margin	**15.0%**	15.8%	16.2%	16.6%
Of which Ridgeway pro forma (budget only)	**n/a**	n/a	n/a	3.1
EBITDA excluding Ridgeway (derived)	**n/a**	n/a	n/a	25.3
Capex	**n/a**	n/a	6.2	n/a
Cash taxes	**n/a**	n/a	2.9	n/a
Change in working capital (use)	**n/a**	n/a	(1.8)	n/a
Free cash flow before interest (derived)	**n/a**	**n/a**	**14.7**	**n/a**

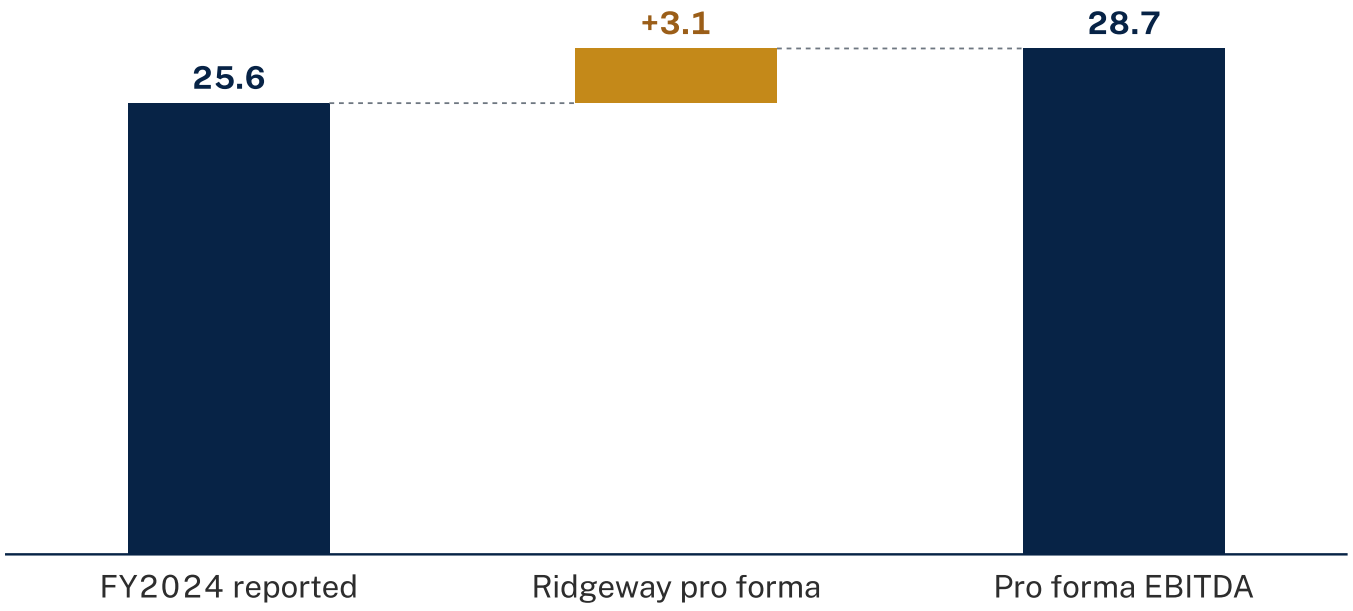
Ridgeway's 3.1 is labelled as FY2025 budget in the material, yet it is added to FY2024 for pro forma leverage. Both views are shown. The FY2025 budget governs no covenant test. n/a = not in the material.

Source: material.md lines 4 and 5 (company financials, budget, FY2024 capex, cash taxes, working capital); growth, margins and FCF derived

The $3.1M Ridgeway add-back is 10.8% of pro forma EBITDA and its period is in doubt

Reported to pro forma EBITDA, $M · each add-back judged

EBITDA bridge, FY2024 to pro forma, $M



Add-back	Judgment
Ridgeway pro forma, 3.1	WORTH A QUESTION. Labelled FY2025 budget, added to FY2024.
QoE status	CHANGES THE DECISION until the QoE reports. Add-backs untested.
Leverage without Ridgeway	3.32x, inside the 4.75x covenant

No other add-backs are listed in the material. The adjusted EBITDA definition is not supplied, so it is not known whether the covenant allows this add-back.

Source: material.md lines 4 and 6; add-back share and leverage derived

Sources do not tie: the 98.0 OID leaves $1.7M of the $85.0M uses unfunded

Sources and uses at close · $ in millions

Sources	$M
Senior unitranche, face	**85.0**
Less OID (98.0)	**(1.7)**
Sponsor equity to close the gap	**n/a: source needed**
Identified sources, net of OID	**83.3**

Uses	$M
Refinance existing term loan	**60.0**
Add-on acquisition, Ridgeway Box	**22.0**
Fees	**3.0**
Total uses	**85.0**

Gap: 1.7 of uses has no named source. It is not forced to tie. Cumulative leverage at close: 2.96x on pro forma EBITDA, 3.32x on reported.

Source: material.md line 3 (request and uses); OID proceeds and gap derived (85.0 x 98.0%)

FY2024 cash flow before interest is $14.7M, or 17.3% of the debt

Free cash flow build, FY2024 actual · $ in millions

FY2024	$M
Reported EBITDA	**25.6**
Less capex	**(6.2)**
Less cash taxes	**(2.9)**
Less change in working capital (use)	**(1.8)**
Free cash flow before interest	**14.7**
Interest paid	**n/a**
Scheduled amortisation	**n/a**
Free cash flow after debt service	**n/a**

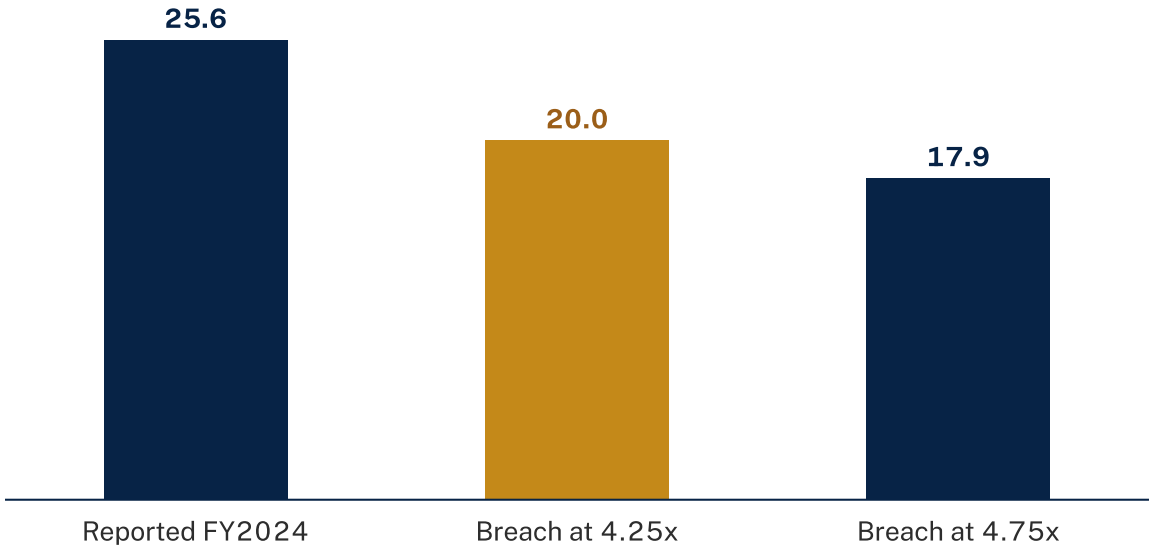
- Before interest, FY2024 cash flow covers 17.3% of the 85.0 of debt.
- Debt service cannot be shown: SOFR level, the rate and the amortisation schedule are not in the material.
- No repayment path to year five can be drawn yet. Refinancing test at maturity: n/a.

Source: material.md line 5 (capex, cash taxes, working capital, FY2024); free cash flow and FCF ratio derived

Reported EBITDA can fall 21.9% before the 4.25x step-down binds

EBITDA cushion to covenant levels, gross debt basis · $ in millions

EBITDA, $M: reported vs level where leverage hits covenant



Covenant level	EBITDA needed	Cushion, reported 25.6	Cushion, pro forma 28.7
Opening, 4.75x	**17.9**	30.1%	37.6%
Step-down, 4.25x	**20.0**	21.9%	30.3%

Gross debt of 85.0 is used because no cash is supplied. Net leverage is lower with any cash held, so these cushions are conservative. Step-down timing is not in the material.

DATA NEEDED

Management downside case and named shock. No downside case was supplied, so no stressed leverage or liquidity runway is shown.

Source: material.md lines 3 to 8 (debt, EBITDA, covenant levels); break-even EBITDA and cushions derived

Leverage has headroom on pro forma figures; fixed charge cover is untested

Proposed covenants · required level, actual on FY2024 pro forma, headroom in the base case only

Covenant	Required	Actual, gross	EBITDA cushion	First test	Definition
Max total net leverage, opening	**4.75x**	2.96x	37.6%	n/a: date not supplied	n/a: definition not supplied
Max total net leverage, step-down	**4.25x**	2.96x	30.3%	n/a: date not supplied	n/a: definition not supplied
Min fixed charge cover	**1.20x**	n/a	n/a	n/a: date not supplied	n/a: definition not supplied

Headroom is shown on the base case only. Downside headroom is n/a until a downside case is supplied. Net leverage cannot be tested without a cash figure. A covenant failed on actual figures would be a day-one default, not headroom; none is failed on the figures supplied.

Source: material.md line 8 (proposed covenants); headroom derived from line 6 (pro forma debt and EBITDA)

The security package and guarantor list are not in the material

Collateral and structure · what is known and what is missing

Known

- Borrower: Halden Packaging Ltd, corrugated packaging.
- Three plants; plant 3 environmental report is open.
- Sponsor-owned since 2021.

Needed for the credit memo	**Status**
Security package and ranking	DATA NEEDED
Guarantors and legal structure chart	DATA NEEDED
Plant 3 environmental report	DATA NEEDED. CHANGES THE DECISION
Asset-level collateral values	DATA NEEDED

Source: material.md lines 2 and 11 (known facts and missing items)

The open items decide this credit, and the sources gap blocks the verdict

Risks tagged CHANGES THE DECISION, WORTH A QUESTION or EXPLAINED BY CONTEXT · only the first tag reaches the verdict

Risk	What the material shows	Tag
Sources do not tie	Identified sources 83.3 against uses 85.0; the 1.7 gap is unnamed	CHANGES THE DECISION
QoE not complete	Add-backs untested; Ridgeway 3.1 is 10.8% of pro forma EBITDA	CHANGES THE DECISION
Plant 3 environmental	Report missing; no liability estimate supplied	CHANGES THE DECISION
Ridgeway period	3.1 is a FY2025 budget figure added to FY2024	WORTH A QUESTION
Customer concentration	Top customer 18%, top five 41%; period not stated	WORTH A QUESTION
Input cost pass-through	Containerboard down 9% in FY2024; gross margin held at 24.1%	WORTH A QUESTION
FY2025 actuals	Budget only; no year-to-date actuals	WORTH A QUESTION

No flag is closed as EXPLAINED BY CONTEXT. A flag can close only with a document, not with a verbal explanation.

Source: material.md lines 4 to 11; tags are the deal team's draft for committee review

Funding waits on four conditions; owners and dates are not yet set

Conditions precedent, in the order they block funding

1 · Sources tie	2 · QoE final	3 · Plant 3 report	4 · FY2025 actuals
Name the source of the 1.7 OID shortfall. Owner: n/a · Date: n/a	Accept or cut each add-back, Ridgeway first. Owner: n/a · Date: n/a	Receive and review the environmental report. Owner: n/a · Date: n/a	Receive year-to-date actuals against the 171.0 budget. Owner: n/a · Date: n/a

Monitoring plan: reporting frequency, triggers and covenant test dates are n/a: not in the material.
If nothing is done: not funded as drafted; verdict stays open.

Source: material.md line 11 (missing items); conditions are the deal team's draft

One source was reviewed; the requests below are still outstanding

Documents reviewed and outstanding requests

Document reviewed	**Detail**
material.md (test material)	Fictional company, 12 lines: request, financials, covenants, ownership, open items

Requested	**Blocks**
FY2025 year-to-date actuals	Condition 4
QoE report	Condition 2
Plant 3 environmental report	Condition 3
Management downside case	Downside and covenant slides
Security, guarantor list and interest terms	Cash flow, covenant and collateral slides

Source: material.md (documents reviewed and missing items, line 11)